

APM Project Management Qualification

Learner Study Pack



Business Case

Introduction

This section of the Learner Study Pack will cover the Business Case competence of the APM Project Management Qualification.

This section will enable you to gain an understanding of the business case as providing justification for undertaking a project, programme or portfolio. It evaluates the benefit, cost and risk of alternative options and provides a rationale for the preferred solution.

Learning objective and outcomes

Learning objective:

4. Understand a business case as the justification for the initiation, investment and/or continuation of a project in terms of benefits, costs and risks.

By the end of this activity, you should be able to:

4a) Knowledge of the tools and techniques used to determine factors which influence and impact a project's business case (including PESTLE, SWOT and VUCA).

4b) Understand the importance of regularly reviewing the impact of any changes in a project to the business case and know that the business case forms the baseline for the project.

Study time

This section of the Learner Study Pack will take approximately 1 - 2 hours to complete.

Recommended resources

In addition to your Learner Study Pack, use the below references for more information on the Business Case competence:

- APM Body of Knowledge Seventh edition 1.3.7 (Business case)
- APM (2018) Starting Out in Project Management 3rd edition
- APM (2019) How to nail your business case <https://www.apm.org.uk/blog/how-to-nail-your-business-case/>

Overview

A business case must demonstrate a strong case for a project by outlining its scope, benefits and detailing the funds that need to be allocated to it.

Business Case Elements

The five elements of a compelling business case are:

1. Strategic context – this is the case for change.
2. Economic analysis – this is the return on investment (ROI) based on the investment appraisal of options.
3. Commercial approach – this is derived from the procurement strategies.
4. Financial case – this outlines the affordability to the organisation in the agreed timeframe.
5. Management approach – this outlines the roles, governance structure, lifecycle choice etc.

Tools and Techniques

There are a variety of tools and techniques that can be used to determine factors which may impact or influence a project's business case.

For the purpose this section, we'll examine three commonly used examples:

Tool/Technique	Definition
PESTLE	This technique examines the influences that could impact a project: Political – Internal and external politics. Economic – Local, national and international market conditions relating to project funding. Sociological – Societal pact, as well as the impact of stakeholders and their level of support on project risk and outcome Technological – this may include the project's technological requirements or the use of emerging technology. Legal – Regulatory considerations such as health and safety, employment and contract law and compliance with local legal systems. Environmental – Environmental impact of the project and considerations.

Tool/Technique	Definition
SWOT	This technique examines the following: Strengths – Organisational strengths and their influence/impact on the project. Weaknesses – Organisational weaknesses, their influence/impact and the risk that they pose to the project. Opportunities – External elements that could be exploited by the project and the organisation. Threats – External elements that could be problematic for the project and the risk that they may pose.
VUCA	This technique examines the following: Volatility - Project instabilities and using this information to inform/adjust estimates or identify risks. Uncertainty – Inherent risks of the project and areas where activities will have uncertain outcomes. Complexity – How complex the project is, the source of that complexity and how it can be managed. Ambiguity – The elements and risks which have not been identified and the potential impact of these and subsequent action/mitigation which may be required.

Reviews

As with any process or procedure, regular reviews are important to ensure that the impact of any changes have been accounted for when looking at the business case – think of it as a 'living document' that can evolve during the project to ensure the overall success of the project.

The business case:

- Justifies the initial and continued investment in the project and enables the project manager to agree success criteria with the project sponsor and other stakeholders.
- Provides a record of decisions made by governance and documents the options considered.
- Should be reviewed periodically and at decision gates throughout the life cycle to ensure the investment remains aligned to expected benefits.
- Can be reviewed, in the definition and development phases, against progress made as well as checking progress against the benefits outlined.
- Will be used by the Project Manager as the starting point for developing the project management plan.
- Identifies if the benefits are no longer viable, allowing the senior management team to potentially stop the project.

Scenario One:

As an experienced Project Manager, you know that the key to success is a detailed business case, so the renovation of the new Snappy Appy head office will be no different!

Using the recommended tools and techniques outlined in this section, which different factors might need to be considered when developing your business case and what is their relative significance to the project and the organisation?

Scenario Two:

The senior leadership team of Snappy Appy are very keen to see your first thoughts on the business case and what you believe to be the main elements that must be considered.

This is your opportunity to not only influence your key internal stakeholders, but also a chance for you to demonstrate your expertise as well.

Write an email to the team that outlines the following five elements of your plan:

- **Strategic context: The compelling case for change.**
- **Economic analysis: Return on investment based on investment appraisal of options.**
- **Commercial approach: Derived from the procurement strategy.**
- **Financial case: Affordability to the organisation in the timeframe.**
- **Management approach: Roles, governance structure, life cycle choice, etc.**

Scenario Three

Ayo, the Founder/CEO, has asked you to review and report on the project alignment to the business case daily. In your opinion, this seems too frequent and could potentially slow the progress of the project itself.

What would you consider a more sensible approach to ensure regular and meaningful reviews of the business case are undertaken and at what stages would you want to ensure this is happening as a minimum?

Given that Ayo is one of your key stakeholders, how would you influence them to follow your suggested regular review strategy?

Learning review questions

Before you attempt the exam practice questions in the next section, we recommend you review your learning to quickly see which aspects you don't understand or can't remember as well.

It will also boost your confidence by confirming what you have learnt and your demonstrated ability to apply that knowledge, so that you are ready to practise for the exam.

Here are some questions you may wish to answer to review your learning from the Business Case section:

- Why is it important that the business case is regularly reviewed?
- There is a clear link between organisational growth and the willingness of organisations to initiate and undertake projects. Why is this and what is the role of the business case in enabling projects to be delivered?

Exam practice questions

4.1 Which element of the PESTLE framework would you primarily examine to assess the potential impact of new government regulations on a business case? (1 mark)

- a. Political
- b. Legal
- c. Social
- d. Economic

4.2 You are writing the business case for a new project. There are various factors which may influence and impact the business case.

State two tools or techniques which can be used to identify and analyse these factors.
(2 marks)

4.3 What would be included in each of the following sections of the business case:

- Strategic context
- Economic analysis
- Commercial approach
- Financial case
- Management approach

(5 marks)

4.4 You are in the Deployment phase of a project to implement a new automated production line for a large manufacturing company.

The project has been ongoing for a number of years, and there have been changes in the organisation's leadership team and project team. There have also been new technological innovations in production lines.

(2 marks)

You are confident that the business case is still valid because _____(a)_____.

One reason that the project could come to a close early would be if the _____(b)_____.

(a)

1. The CEO is still supportive.
2. It's been reviewed at decision gates.
3. It was approved by the sponsor.
4. It includes the new technology.

(b)

1. Project Manager changes
2. Governance structure changes.
3. Risk appetite increases.
4. Benefits are no longer viable.

Exam practice answers

Question	Answer / Mark Scheme
4.1	B
4.2	1 mark for any of the below or other valid tool or technique to analyse a business case – 2 marks available in total: • VUCA – Volatility, Uncertainty, Complexity and Ambiguity • PESTLE – Political, Economic, Sociological, Technical, Legal and Environmental • SWOT – Strengths, Weaknesses, Opportunities and Threats
4.3	1 mark for each correct explanation of the 5 elements. For example: • Strategy is aligning with wider company vision, goals, or objectives, and is the reason why the business case is being built. • Economic analysis details why the business case is a good idea, in terms of return on investment, market share, sector or domain strengths, and potential courses of action. NB. This is different from the financial case. • Commercial approach concerns how the overall project or task will build its resources, how the supply chain will be built, and how the required services will be procured. • Financial case deals with the internal financial resource, where the budget will come from, and where this is prioritised. It can also contain other financial details such as margin and profit projections, or personnel forecast in terms of operating costs. • Management approach provides the necessary information to explain, roles and responsibilities, stakeholder management, risk management, and ensures that the business case contains all the required information to set the baseline effectively.
4.4	(a) 2 (b) 4